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Social and Unsocial Capital: A Review Essay of Robert Putnam's *Making Democracy Work*

MARGARET LEVI

In an earlier review[1] and as chair of one of the committees that awarded a prize[2] to *Making Democracy Work*,[3] I shared in the praise of its empirical richness and theoretical interest. Few scholarly books in recent years have generated so much discussion, acclaim, and criticism. Putnam has helped transform the agenda of social science in—I believe—a healthy and productive direction. In this essay, however, I come neither to praise nor to bury Putnam but rather to raise some concerns about his central theoretical concept: social capital. In particular, I find problematic Putnam's argument about the mechanisms by which social capital is produced and maintained.

At the heart of *Making Democracy Work* is the link between the vibrancy of associational life, good governance, and democracy. Putnam aims to explain why this is so. Central to the Putnam argument is his claim—and I quote: "Collective life in the civic regions is eased by the expectation that others will probably follow the rules. Know that others will, *you* are more likely to go along, too, thus fulfilling *their* expectations."[4]

If we accept this claim, which I do, then it opens up some major and interesting questions:

1. What are the origins of such an expectation?
2. What are the mechanisms that maintain such an expectation?
3. How do such expectations promote good government in general and good democratic government in particular? To put this last question in Putnam's own

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words: "How do norms and networks of civic engagement undergird good government?"[5]

ORIGINS

Putnam argues that there are two equilibria, one "virtuous" and one "vicious." The first characterizes the north of Italy and the second its south. Putnam uses the concept of path dependence, particularly as developed in the work of Douglass North,[6] to support his argument that the origins of these equilibria are in the twelfth century. Criticisms of his descriptive account are telling,[7] and I shall not rehearse them here.

What concerns me at least as much is his metaphorical use of path dependence without the rigorous analytics a compelling application of the concept requires.[8] Past events may circumscribe contemporary choices, but they neither determine nor predict the decisions at all crossroads since the initial starting point. The analytics of path dependence might provide an explanation of why inefficiencies persist despite superior technical alternatives,[9] but there is, nonetheless, technical and social change. Historically given structures and experiences affect choices, but they must be continually reproduced to have the same effects they had in the past. Suffice it to say that Putnam, in my view, fails both in his application and his understanding of the concept of path dependence.

MECHANISMS

My major concern in this essay is with the mechanisms by which membership in such groups as bird-watching societies and soccer clubs leads to a high level of civic engagement, democratic politics, and high quality government performance. Putnam argues that the act of involvement in secondary (really tertiary) associations produces civic communities whose members engage in collective action for mutual benefit and who demand government responsiveness. Participation in soccer clubs, choral groups, and bird-watching societies creates social capital in the form of dense networks of civic engagement, norms of generalized reciprocity, and generalized trust. In the civic communities, individuals become citizens who will act with and trust others, even when they do not know them personally. This may be a description of what is, but it is not a theory that identifies the mechanisms of production, maintenance, and growth of social capital.

Putnam argues that "trust is an essential component of social capital"[10] because it "lubricates cooperation."[11] Yet, Putnam never offers a precise definition of trust. He effectively treats a whole range of relationships and expectations under the one title of trust, but there are different kinds of trust: interpersonal, organizational, governmental. He has since clarified that he is not addressing trust *in* government or other institutions but only trust among persons.[12] This is only a partial clarification, serving to restrict the domain but not elucidate the concept. Sometimes he uses the term trust to suggest confident expectations due to knowledge,

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institutional arrangements, or incentive systems that enable an individual to predict behavior and thus count on someone else. In other cases, trust seems to imply a general morality within the community itself.

The major issue for Putnam is how social trust, that is, trust among those lacking intimate knowledge of each other, develops and is maintained in a society. The answer that Putnam provides is only partially satisfying. It may be correct but is incomplete. He claims that trust has two sources: norms of reciprocity and networks of civic engagement, and the first is likely to be a function of the second.[13] Participation in dense networks of horizontal interactions of relative equals produces norms of reciprocity, provides sanctions for defectors, offers some information about others, and creates a "culturally-defined template for future collaboration."[14] Drawing on findings from non-cooperative game theory, he argues that a tit-for-tat strategy, particularly in the form of what Robert Sugden labels the "brave reciprocity" of the "mutual aid game."[15] is a self-sustaining equilibrium. Thus, if people act trustfully, they tend to cooperate and invite cooperation in return.

All of this is well-proved logically and, to some extent, empirically. However, the soccer clubs and bowling leagues that are meant to produce such dense networks hardly seem up to the task. Certainly, they are not particularly useful agents of the kinds of sanctions and information that are necessary to promote large-scale economic exchange. Nor is it clear that they produce norms of reciprocity with those outside the club; in fact, they may have just the opposite effect.

To determine whether there is a connection between such memberships and generalized trust requires a more precise concept of trust than Putnam offers. I prefer a behavioral approach: a trusting individual is one who makes a low personal investment in monitoring and enforcing the compliance of the individual(s) with whom she has made a compact from which she believes she will benefit.[16] By this account, trust is an action taken in a risky situation but in which there is reason to believe in the reliability of the person being trusted. The sources for this belief are varied (actual knowledge, institutional sanctions, faith in one's own judgments, etc.), but all entail relatively light costs to the individual who decides to trust.

This view of trust suggests some possible answers about how associational involvement translates into trust of others and, most importantly, trust of strangers. The first involves cognitive mechanisms such as a heuristic or projection. A heuristic is a rule one follows without having to calculate in each individual case. The work of Herbert Simon builds on this concept, as do more recent investigations by John Scholz concerning compliance with taxes.[17] Projection, as developed particularly in the work of Robyn Dawes and John Orbell,[18] is the psychological mechanism by which a trustworthy person projects her trustworthiness onto another; thus, the more trustworthy one is, the more likely one is to trust. In

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both of these cases, membership in the society or team teaches one the heuristic or allows one to project safely. If others have learned similar lessons, then trust will in fact become generalized throughout the society.

Although it is still an open empirical question, I believe trust is more likely to emerge in response to experiences and institutions outside the small associations than as a result of membership. Expectations about the behavior of others form as a result of interactions among groups defined by ethnicity, religion, or some other shared value;[19] confidence in a backdrop of third party sanctions;[20] or sufficient costs to discourage the betrayal of trust.[21] Shared values signal who to trust and distrust, institutions ensure that commitments are credible by making sanctions quasi-automatic, and incentives structure the choices of the players. An expectation of trustworthiness results either from knowledge of the player one must decide to trust or backward induction of the likely choices that player faces. The decider can figure out her best payoffs by determining what options are least likely to be attractive to the other player. Not only are the optimal choices important in the calculation, equally important are those off the equilibrium path, the choices that will not be made given the structure of the situation. For example, many francophones have come to believe that whatever the central Canadian government promises, it is likely to break that promise down the line. These francophones reason backwards from this outcome to eliminate branches of the decision tree, finally concluding that it will not pay to cooperate initially. Such a situation may equally apply to Southern Italians.

In a recent article in this journal, Russell Hardin argued that those who have learned to distrust are reinforced in their beliefs that the risk of trust is too high to undertake.[22] By failing to trust, they fail to search for or close with potential trading partners. Consequently, those who trust continue to become better off politically and economically, and those who distrust fall behind. History and experience form the basis for initial starting points; thus, distrustful attitudes may be path dependent to the extent that they represent "irreversibilities due to learning and habituation."[23] There may in fact be path dependence, but the paths are different than those Putnam identifies as commencing in medieval Italy. Rather, these are the experiences a particular set of individuals has with another set of individuals or with a state. The vicious circle can, in principle, be broken, but only by attacking racism and other forms of interpersonal discrimination and only by institutions that ensure the credible commitments of governments.

GOOD GOVERNANCE AND DEMOCRACY

Putnam claims that citizens who have a dense network of civic engagements not only trust each other but also produce good government, democratic government, and, most important, good democratic government. The links are not at all clear, however. Putnam believes, of course, that he has an explanation for why dense networks of civic engagement promote effective government and democ-

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racy. He argues that bird-watching societies, soccer clubs, choral groups, and the like engender sufficient interpersonal trust and assurances so that citizens are able to overcome the free rider problem, organize, and then effectively sanction governments that are not performing well. Moreover, the pluralist and cross-cutting cleavages of an active citizenry ensure that the demands will be democratic in overall effect.

First, I have already noted how the assumption that membership in one kind of society leads to overcoming free rider problems in another is problematic. Second, this assumption is only one of several reasons to question the causal chain between bird watching and political activism. There is a wide gap between various kinds of social clubs and organizations for political action. Undoubtedly, there is a correlation. Perhaps once one overcomes the barrier to joining one kind of group, it is easier to join another. Perhaps Putnam is correct that sufficient trust is engendered by bird watching together to encourage cooperation in other enterprises. Perhaps not. Even so, free riding is only part of the story in accounting for an active citizenry. Recent research in the United States on low and declining rates of political participation, as measured by both voting and joining,[24] suggests that equally important is the decline in the mobilization of broad-based constituencies by political leaders. The structure of politics has changed considerably over the last century. Today's politicians are more likely to target particular populations than encourage large-scale doorbelling and organization. The effect is a decline in turnout and political membership and, possibly, an increase in the influence of special interests.

Third, even assuming that citizens overcome the free rider problem and that they are mobilized for political action, their capacity to make effective demands and sanction government action may remain limited. Agenda setting, non-decision making, and media manipulation mean that certain issues do not even reach the public's attention. Electoral cycles mean that certain policies go unpunished while others receive immediate attention. Public interest groups may correct some of that bias but hardly all. Even with a free press, information about policy and policy consequences is costly and confusing. While a vigilant citizenry is certainly a requirement of democracy, it is not always so easy to be vigilant.

Fourth, the effective demands may not be democratic demands—or they may represent only a narrow spectrum of the electorate. Putnam would hardly deny this. His claim is comparative: a region with a rich network of civic engagement will be more democratic (read pluralist) than a region without such a network. However, if Rosenstone and Hansen[25] are correct, the differential mobilization of the population will lead, has led, to very particularistic demands. If Hardin is right,[26] mobilization of large numbers of groups by ethnic, racial, religious, or other ascriptive criteria will undermine rather than undergird democracy.

Finally, Putnam's theoretical analysis in *Making Democracy Work* is resolutely society-centered to the neglect of other important actors, most notably those in

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government.[27] The emphasis of the book is on civil society and how the interactions within it are the source, indeed the root cause, of effective government. Government institutions are the dependent variable.[28] Nonetheless, it remains an empirical question, still inadequately explored despite the high quality of this research, that good government is a result of an interaction between a civic-minded citizenry and civic-minded government actors. We need the Machiavelli of *The Discourses* as well as the de Tocqueville of *Democracy in America*. In *Making Democracy Work* all the important action comes from the citizenry. However, as Putnam realizes in his work on the United States,[29] governments also may be a source of social capital. Policy performance can be a source of trust, not just a result.

Putnam argues that the major source of generalized trust is intermediate associations. These may, in fact, play an important role. However, I remain unconvinced that the social capital and, more particularly, trust that emerges from these mechanisms is sufficient for producing generalized trust. There is considerable evidence that state institutions can, under certain circumstances, lay the basis for generalized trust. The absence of an effective state leads us to the Hobbesian world of nature, of the "war of all against all." Witness Yugoslavia, Lebanon, and several countries in Africa. It is not simply the protection of property rights, however, that facilitates generalized trust. It is also the protection of merit. One does not have to accept the Horatio Alger myth to recognize that certain kinds of government institutions limit nepotism, favoritism, and "old boys" networks that undermine confidence in the competence of those with whom one is dealing.

Making Democracy Work, as well as the more recent book by Fukuyama,[30] offers little role for government in establishing social capital, or at least the kinds of social capital the authors prefer. Of course, the authors recognize that the state's legal structure is a necessary support for contractual relationships and a certain level of social order, but for Fukuyama state influence appears to be either trivial or negative. For Putnam the state influence, at least in Italy, is largely extraneous to the construction of trust—except for at the point of initial state formation in the Middle Ages.

Putnam does not, as Fukuyama sometimes seems to, fall into the long tradition of blaming the state for the breakdown of social order and trust (and a whole range of other positive virtues and interactions). Fukuyama's work resonates clearly with the contemporary polemic of the radical right. For the right the ogre is the centralized state with its overregulation, reduction of the mediating roles and influence of intermediate institutions such as the church, and the undermining of the family. In his recent publications on American society, Putnam makes it clear that he advocates a positive role for government in the creation of social capital, but he does not say much more than this.[31] By failing to provide an adequate account of alternative means to produce social capital, Putnam too often seems to

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place the blame for contemporary economic and political failings on the decline in secondary associations and traditional family structure.

Yamagishi and Yamagishi,[32] on the other hand, explicitly argue that the state facilitates interpersonal trust among strangers, and they are not alone. A large body of social democratic theory claims an important role for the state in reducing the narrow and often risky personalized dependencies of people on each other. The new economic institutionalism stresses the importance of the state in establishing and enforcing the property rights that make trust possible. Recent work by political economists and economic historians emphasizes the role of government institutions in establishing peaceful equilibria among otherwise combative groups.[33]

Governments provide more than the backdrop for facilitating trust among citizens; governments also influence civic behavior to the extent they elicit trust or distrust towards themselves. By most of Putnam's measures the Anglo-Saxon democracies at the beginning of World War I had strong civic traditions. Yet their response to the efforts of government to introduce conscription varied from a few who were strongly supportive, to most who were ambivalent, to some who were outright hostile to the idea. To use my language, what made the citizens contingently consent in some countries and not others? Trust in government is one of the keys to explaining the variation. There also needed to be rules and institutions that were transparent and procedurally fair and that had mechanisms for ensuring the credibility of government actors' policy promises.[34]

PUTNAM'S ROMANTICISM

Ultimately Putnam cannot account for the relationship between a civic community, institutional performance, and democracy. He lacks not only a theory of social capital but also a model of the variation in the nature of the demands on and the responses of government. I suspect that his failure to correct these shortcomings of *Making Democracy Work* rests in his romanticism of both associational life and, more generally, social capital.

Putnam's is a romanticized image of community. By themselves dense networks support localism, which is often extremely resistant to change. To paraphrase Douglass North's wonderful line about the state as the source of economic growth and the source of economic decline: "The existence of a state is essential for economic growth; the state, however, is the source of man-made economic decline."[35] Neighborhoods (and certain other networks of civic engagement) are a source of trust and neighborhoods are a source of distrust. They promote trust of those you know and distrust of those you do not, those not in the neighborhood or outside the networks.

Historically, there is reason to believe that maintenance of close networks blocks innovation[36] and reinforces traditionalism, generally in the form of closed

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economies. Although his intention is to promote political and economic progress, there is a very conservative message implied in much of what Putnam writes. For example, when he speaks, as he does in talks, of the decline of the PTA as a sign of the decline of civic engagement, he takes us back to an era when women were not so much in the workforce, when they and therefore their husbands as well, had more time for volunteering and other community activities.[37] He recognizes that there is a strong relationship between a decline in certain kinds of associational memberships and an increase in working mothers. However, he seems to decry the effects of this change rather than, as Nancy Folbre does,[38] search for institutional substitutes for the roles women once performed.

His insufficient development of the concept of social capital, his romanticism of community, and his resolutely society-centered focus make it difficult for the Putnam of *Making Democracy Work* to recognize the alternative forms, uses, and sources of social capital. Putnam tends to focus on social capital that correlates with the outcomes he seeks. Yet, under certain conditions, vertical relationships may also facilitate trust, reciprocity, and, certainly, coordination. The Mafia[39] performs effectively by its criteria, and it certainly is predictable (one of Putnam's implied meanings of trustworthiness). So, too, do many hierarchical churches, firms, and governments. Nor is horizontal organization necessarily a good thing. Putnam tends to assume that the capacity to engage in collective action is always commendable, but there are innumerable instances where it is demonstrably a bad thing, for example, Bosnia or Rwanda. A recent review in the *New York Times* of Fukuyama's *Trust* cited Putnam's work and noted that Timothy McVeigh and other co-conspirators in the Oklahoma City bombing were members of a bowling league; this is a case where it may have been better to bowl alone.[40] As Elinor Ostrom forcefully observes, "Social capital can have a dark side."[41]

CONCLUSION

Putnam raises a critical question, perhaps the critical question for democracies: What *are* the dynamics of the construction and destruction of democratic civic engagement? But in *Making Democracy Work* he does not yet provide the answer. In particular, we need a more complete theory of the origins, maintenance, transformation, and effects of social capital. I suspect this will also require a more satisfying model of government behavior in which government actors may initiate and influence as well as respond.

Making Democracy Work compels social scientists to reconsider the causes of economic and political development. Yet, the relationship between state performance and civil society remains theoretically and empirically unresolved. Putnam ensures that this perennial question for social theory will once again receive the attention it deserves. With Leonardi and Nanetti, he succeeds admirably in setting an important agenda of research and suggesting a path for exploration. With his work on the United States, Putnam continues the quest and, in the process,

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encourages new and exciting debate about democracy in America, Italy, and throughout the world.

NOTES

1. Margaret Levi, "*Making Democracy Work: A Review,*" *Comparative Political Studies* 26, no. 3 (1993): 375-9.

2. Robert Putnam was the 1994 winner of the Gregory Luebert Prize in Comparative Politics presented by the Organized Section on Comparative Politics, American Political Science Association.

3. Robert Putnam, *Making Democracy Work: Civic Traditions in Modern Italy* (Princeton, NJ: Princeton University Press, 1993).

4. Putnam, *Making Democracy Work*, 111.

5. Ibid., 116.

6. Douglas C. North, *Institutional Change and Economic Performance* (New York: Cambridge University Press, 1990).

7. Suzanne Berger argued forcefully for an alternative history in her discussion at a roundtable on the book at the American Political Science Meetings, New York, September 1994. Also, see Filippo Sabetti this issue.

8. See my discussion of the problems of using path dependence as a metaphor in Margaret Levi, "The New Economic Institutionalism in the Analysis of Revolutions" (paper presented at Workshop on Revolutions, SCASSS, August 1995).

9. Paul David, "Clio and the Economics of QWERTY," *American Economic Review* 75, no. 2 (1985): 332-7; and W. Brian Arthur, "Competing Technologies, Increasing Returns, and Lock-in by Historical Events", *The Economic Journal* 99 (March 1989): 116-31.

10. Putnam, *Making Democracy Work*, 170.

11. Ibid., 171.

12. Comments during the Roundtable on Trust, American Political Science Association Meetings, Chicago, September 1995.

13. Ibid., 171-4.

14. Ibid., 174.

15. Robert Sugden, *The Economics of Rights, Co-operation, and Welfare* (Oxford, UK: Basil Blackwell, 1986).

16. Margaret Levi, "Trusting the State" (paper presented at Russell Sage Foundation/Russell Sage Workshop on "Trust and Social Structure," Seattle, WA, September 1995).

17. Neil Pinney and John Scholz, "Can Cognitive Consistency Cure Collective Dilemmas? Self-Interest Versus Duty to Pay Taxes," working paper no. 28, Russell Sage Foundation, New York, 1992; John T. Scholz, "The Adaptive Compliance of Citizens: Tax Compliance as Contingent Consent" (Canberra, Australia: ANU, Administration, Compliance and Governability Working Paper No. 21, 1994).

18. John Orbell and Robyn M. Dawes, "A 'Cognitive Miser' Theory of Cooperators' Advantage," *American Political Science Review* 85, no. 2 (June 1991): 515-28; Idem, "Social Welfare, Cooperators' Advantage, and the Option of Not Playing the Game," *American Sociological Review* 58 (December 1993): 787-800.

19. There are several versions of this argument. See, e.g., Valerie Braithwaite, "Games of Engagement: Postures within the Regulatory Community," working paper no. 26, Administration, Compliance, & Governability Program, Research School of Social Sciences, Australian National University, 1995; Avner Greif, "Cultural Beliefs and the

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Organization of Society: A Historical and Theoretical Reflection on Collectivist and Individualist Societies," *Journal of Political Economy* 102, no. 5 (1994): 912-50; and Toshio Yamagishi and Midori Yamagishi, "Trust and Commitment in the United States and Japan," *Motivation and Emotion* 18, no. 2 (1994): 129-66. While both Greif and Yamagishi and Yamagishi rely on incentives and sanctions to account for trust or what Yamagishi and Yamagishi label commitment, Braithwaite relies more on a sense of shared identity.

20. This is my argument in "Trusting the State". On non-state institutions, see Paul R. Milgrom, Douglas C. North, and Barry R. Weingast, "The Role of Institutions in the Revival of Trade: The Medieval Law Merchant, Private Judges, and the Champagne Fairs," *Economics and Politics* 1 (1990): 1-23.

21. There are numerous versions of this argument. Some rely on reputation, e.g., Diego Gambetta, *The Sicilian Mafia: The Business of Private Protection* (Cambridge, MA: Harvard University Press, 1993); and Avner Greif, "Reputation and Coalitions in Medieval Trade: Evidence on the Maghribi Traders," *Journal of Economic History* 49, no. 4 (December 1989): 857-82. Others focus on encapsulated self-interest, e.g., Russell Hardin, comments at the New York University/Russell Sage Foundation Workshop on Trust, New York, February 1995.

22. Russell Hardin, "The Street Level Epistemology of Trust," *Politics & Society* 21, no. 4 (December 1993): 505-29.

23. David, "Clio and the Economics of QWERTY," 36.

24. Stephen Rosenstone and John Mark Hansen, *Mobilization, Participation and Democracy in America* (New York: MacMillan, 1993).

25. Ibid.

26. Russell Hardin, *One for All.* (Princeton, NJ: Princeton University Press, 1995).

27. Although he discusses government actors in the empirical section (101-4), they pretty much disappear in the last chapter.

28. A similar line of argument is pursued by Sidney Tarrow, "Making Social Science Work across Space and Time: A Critical Reflection on Robert Putnam's *Making Democracy Work*," *American Political Science Review* (forthcoming).

29. Robert Putnam, "The Prosperous Community: Social Capital and Public Life," *The American Prospect* 13 (Spring 1993): 35-42; and Robert Putnam, "Bowling Alone: America's Declining Social Capital," *Journal of Democracy* 6, no. 1 (January 1995): 65-78.

30. Fukuyama, *Trust.*

31. Robert Putnam, "Bowling Alone"; Robert Putnam, "Bowling Alone, Revisited," *The Responsive Community* (Spring 1995): 18-33.

32. Yamagishi and Yamagishi, "Trust and Commitment in the United States and Japan."

33. See, e.g., Barry R. Weingast, "Constructing Trust: The Political and Economic Roots of Ethnic and Regional Violence" (paper presented at the University of Maryland/National Science Foundation Conference on Institutions, College Park, MD, October 1994); Barry R. Weingast, *Institutions and Political Commitment: A New Political Economy of the American Civil War Era* (forthcoming).

34. Margaret Levi, *The Contingencies of Consent* (forthcoming).

35. Douglass C. North, *Structure and Change in Economic History* (New York: Norton, 1981), 20.

36. Greif, "Cultural Beliefs and the Organization of Society."

37. Putnam provides some corrective to this earlier position in "Tuning In, Tuning Out: The Strange Disappearance of Social Capital in America" (the Ithiel de Sola Pool Lecture, American Political Science Association Meetings, Chicago, September 1995).

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38. Talk at the Annual World Bank Conference, Washington, DC, May 1995.

39. The Mafia is, of course, based on vertical interactions. It, however, relies on and produces distrust, not trust. See, especially, Diego Gambetta, *The Sicilian Mafia*.

40. Fareed Zakaria, "Bigger than the Family, Smaller than the State: Are Voluntary Groups What Make Countries Work?" *New York Times*, 13 August 1995, pp. 1, 25.

41. Elinor Ostrom, "Investing in Capital, Institutions, and Incentives," in *Institutions and Economic Development*, ed. Christopher Clague (forthcoming). Also, see Hardin, *One for All*.

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